

D078

Business Environment Applications I: Business Structures and Legal Environment

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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Items

1.

A regional water utility that serves 400,000 customers and recently won a customer service award operates in a stable, heavily regulated environment where processes rarely change. Which structure fits it best?

- A. Organic
- B. It makes no difference; structure never affects performance.
- C. Matrix, because the utility is large
- D. Mechanistic

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2. [TRANSFER — reversed stem / different variable]

A firm faces rapid technological change and must innovate quickly. Which structural features fit best?

- A. A tall hierarchy with detailed rules for every task
- B. Decentralized decisions, few formal rules and cross-functional teams
- C. Centralize every decision at the top for speed
- D. More formal rules to control uncertainty

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

A consumer goods company headquartered in Chicago with 11,000 employees is organized into Snacks, Beverages and Personal Care units. Each unit has its own marketing, production and finance staff. Which form of departmentalization is this?

- A. Functional
- B. Geographic, because it is based in Chicago
- C. Divisional, by product
- D. Matrix

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

Two people who have been neighbors for 15 years agree that one will repaint the other's cedar fence for free as a favor. Later he refuses, and the neighbor sues. Is the promise enforceable?

- A. Yes; there was an offer and an acceptance.
- B. Yes, because cedar fences are valuable.
- C. No, because oral contracts are never enforceable.
- D. No; there is no consideration.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5. [TRANSFER — reversed stem / different variable]

A 16-year-old signs a contract to buy a used car. Which contract element is most at issue?

- A. Legality
- B. Consideration
- C. None; contracts with minors are always void from the start.
- D. Capacity

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

Two friends run a catering business, voted best caterer by a local magazine, as a general partnership and split profits 60/40. One partner's negligence leads to a \$500,000 judgment. Business assets are only \$120,000. Can the other partner's personal assets be reached?

- A. Only for 40%, matching the profit split.
- B. No; business debts never reach personal assets.
- C. Yes; general partners are personally liable for partnership debts.
- D. No; only the partner who caused the harm is liable.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7. [TRANSFER — reversed stem / different variable]

Which business form generally protects owners' personal assets and also allows pass-through taxation?

- A. Limited liability company (LLC)
- B. General partnership
- C. Sole proprietorship
- D. C corporation

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

A delivery driver with a clean six-year record, driving a two-year-old company truck, runs a red light during his route and injures a pedestrian. Who can the pedestrian hold liable?

- A. The employer as well as the driver
- B. Only the driver
- C. The employer, for anything employees ever do
- D. Neither, because the driver's record was clean

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9. [TRANSFER — reversed stem / different variable]

Which accident most likely falls outside the employer's liability under respondeat superior?

- A. A salesperson causes a crash driving to a client meeting.
- B. An employee causes a crash in her own car on a personal weekend trip.
- C. Any accident, unless the employer ordered the specific act.
- D. A driver on his route makes a short detour for gas and causes a crash.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

At a store in a chain of 300, a new employee mops the floor and puts up no warning sign. A customer slips, gets up unhurt, and has no medical bills or other losses. She sues for negligence. What is the most likely outcome?

- A. She loses; there are no damages.
- B. She wins, because a new employee did the mopping.
- C. She wins, because stores are always liable for falls.
- D. She wins, because the store breached its duty.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

An at-will employee with four years of service and average performance reviews is fired for serving two weeks on a jury. What is the best assessment?

- A. Lawful, because at-will employees can be fired for any reason
- B. Likely wrongful termination under the public-policy exception
- C. Lawful, because her reviews were only average
- D. Unlawful only if she had a written contract

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12.

A beverage company founded in 1920 that sells in 90 countries keeps its syrup formula locked in a vault. Only a few employees, all under nondisclosure agreements, know it. Which protection is it relying on?

- A.** Trademark
- B.** Copyright
- C.** Trade secret
- D.** Patent

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	____	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer D Concept 1

A regional water utility ~~that serves 400,000 customers and recently won a customer service award~~ operates in a stable, heavily regulated environment where processes rarely change. Which structure fits it best?

Target word: structure for the environment **Decides:** Stable, predictable environment.

A	Inverted operation	Organic structures fit fast-changing environments.
B	Absolute language	Fit between structure and environment affects effectiveness.
C	Adjacent category	Size alone does not call for a matrix.
D	Correct	Formal rules and clear hierarchy work well when conditions are stable.

2. Answer B Concept 1 • transfer

A firm faces rapid technological change and must innovate quickly. Which structural features fit best?

Target word: features for a dynamic environment **Decides:** Fast change calls for an organic structure.

A	Inverted operation	Mechanistic features slow adaptation.
B	Correct	Organic features allow fast adaptation.
C	Adjacent category	Centralization creates bottlenecks when change is rapid.
D	Confusion set	Rules suit stable conditions; they slow response to change.

3. Answer C Concept 2

A consumer goods company ~~headquartered in Chicago with 11,000 employees~~ is organized into Snacks, Beverages and Personal Care units. Each unit has its own marketing, production and finance staff. Which form of departmentalization is this?

Target word: departmentalization type **Decides:** Units by product, each with its own functions.

A	Confusion set	Functional groups the whole firm by skill.
B	Camouflage	Headquarters location does not define the units.
C	Correct	Each product unit contains its own functions.
D	Adjacent category	Matrix has dual reporting lines; none are described.

4. Answer D Concept 3

Two people ~~who have been neighbors for 15 years~~ agree that one will repaint the other's ~~cedar~~ fence for free as a favor. Later he refuses, and the neighbor sues. Is the promise enforceable?

Target word: enforceability **Decides:** Nothing was given in exchange.

A	Dropped element	Drops consideration, a required element.
B	Camouflage	The fence's value is not an exchange between the parties.
C	Absolute language	Many oral contracts are enforceable.
D	Correct	A promise of a free favor lacks a bargained-for exchange.

5. Answer D Concept 3 • transfer

A 16-year-old signs a contract to buy a used car. Which contract element is most at issue?

Target word: which element **Decides:** A minor's ability to contract.

A	Adjacent category	Buying a car is a legal purpose.
B	Confusion set	Money for a car is a valid exchange.
C	Absolute language	They are generally voidable at the minor's option, not void.
D	Correct	Minors lack full capacity; the contract is voidable by the minor.

6. Answer C Concept 4

Two friends run a catering business, ~~voted best caterer by a local magazine~~, as a general partnership and split profits 60/40. One partner's negligence leads to a \$500,000 judgment. Business assets are only \$120,000. Can the other partner's personal assets be reached?

Target word: partner liability **Decides:** General partners have unlimited personal liability.

A	Camouflage	The profit split does not cap liability to outsiders.
B	Absolute language	That shield comes from LLCs and corporations, not general partnerships.
C	Correct	Unlimited liability extends to each partner.
D	Confusion set	Confuses personal fault with partnership liability.

7. Answer A Concept 4 • transfer

Which business form generally protects owners' personal assets and also allows pass-through taxation?

Target word: choose the entity **Decides:** Limited liability plus pass-through taxation.

A	Correct	Offers limited liability and default pass-through taxation.
B	Adjacent category	Pass-through, but partners are personally liable.
C	Inverted operation	Pass-through, but with unlimited personal liability.
D	Confusion set	Limited liability, but profits are taxed twice.

8. Answer A Concept 5

A delivery driver ~~with a clean six-year record, driving a two-year-old company truck~~, runs a red light during his route and injures a pedestrian. Who can the pedestrian hold liable?

Target word: employer liability **Decides:** The harm occurred within the scope of employment.

A	Correct	Respondeat superior makes employers liable for on-the-job torts.
B	Dropped element	Drops the employer's vicarious liability.
C	Absolute language	Liability is limited to the scope of employment.
D	Camouflage	A good record does not remove liability for this act.

9. Answer B Concept 5 • transfer

Which accident most likely falls outside the employer's liability under respondeat superior?

Target word: outside the scope of employment **Decides:** A purely personal activity.

A	Adjacent category	Work travel is within scope.
B	Correct	Personal activity is outside the scope of employment.
C	Absolute language	Scope covers work activities, not only ordered acts.
D	Confusion set	A minor detour is usually still within scope.

10. Answer A Concept 6

At a store ~~in a chain of 300, a new employee~~ mops the floor and puts up no warning sign. A customer slips, gets up unhurt, and has no medical bills or other losses. She sues for negligence. What is the most likely outcome?

Target word: does the claim succeed? **Decides:** No injury or loss.

A	Correct	All four elements are required, and damages is missing.
B	Camouflage	The employee's experience does not create damages.
C	Absolute language	Liability depends on all the elements.
D	Dropped element	Breach alone is not enough.

11. Answer B Concept 7

An at-will employee ~~with four years of service and average performance reviews~~ is fired for serving two weeks on a jury. What is the best assessment?

Target word: lawfulness of the firing **Decides:** Jury duty is protected by public policy.

A	Absolute language	At-will has exceptions.
B	Correct	Firing someone for jury service violates public policy.
C	Camouflage	The stated reason is jury service, not performance.
D	Adjacent category	Confuses the contract exception with the public-policy exception.

12. Answer C Concept 8

A beverage company ~~founded in 1920 that sells in 90 countries~~ keeps its syrup formula locked in a vault. Only a few employees, all under nondisclosure agreements, know it. Which protection is it relying on?

Target word: IP type **Decides:** Value comes from keeping the formula confidential.

A	Confusion set	Protects brand names and logos.
B	Adjacent category	Protects creative expression, not a formula.
C	Correct	Confidential business information protected by secrecy.
D	Inverted operation	A patent requires public disclosure and expires.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	3	
Wrong stem number	A figure copied from the prompt that is not the answer.	0	
Adjacent category	The right idea in the wrong bucket.	8	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	4	
Absolute language	Always, never, guarantee — where judgment applies.	8	
Confusion set	Every option is real; the test is exact role-matching.	7	
Camouflage	Answers a stem fact that was never the question.	6	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Mechanistic vs. organic structure	Stable, predictable environments suit mechanistic structures (centralized, formal rules); fast-changing environments suit organic ones (decentralized, flexible teams).	Assuming one structure is best for every organization.	How stable or turbulent the environment is.
2	Departmentalization	Functional groups by skill (marketing, production); divisional groups by product, customer or region, each with its own functions; matrix overlays both.	Calling any large or multi-site firm divisional or geographic.	Whether each unit has its own marketing and production.
3	Elements of a valid contract	Offer, acceptance, consideration (a bargained-for exchange), capacity and legal purpose.	Treating any accepted promise as enforceable.	A promise of a gift or favor, a minor, or an illegal purpose.
4	Entity type and owner liability	Sole proprietors and general partners face unlimited personal liability; LLC members and corporate shareholders generally do not.	Thinking only the partner at fault is liable, or that liability follows the profit split.	Business debts larger than business assets.
5	Respondeat superior	Employers are liable for employees' torts committed within the scope of employment.	Believing only the employee is liable, or that the employer is liable for everything.	An employee causes harm while doing the job vs. on a personal errand.
6	Elements of negligence	The plaintiff must prove duty, breach, causation and damages; missing any one defeats the claim.	Assuming a breach alone wins the case.	A careless act but no actual injury or loss.
7	Employment at will and its exceptions	At-will employees can be fired for any lawful reason, but not for reasons that violate public policy, statutes or implied contracts.	Reading "at will" as "for any reason at all".	Firing tied to jury duty, whistleblowing or a protected trait.
8	Types of intellectual property	Patent = inventions (public disclosure, limited term); copyright = original expression; trademark = brand identifiers; trade secret = valuable information kept confidential.	Choosing a patent for something the owner wants to keep secret forever.	Whether the owner discloses, brands, or hides the asset.

Course scope (public description): Business Environment Applications 1 provides students with a generalist overview of the business environment and a deeper look at a number of topics that make up the non-discipline areas of business which are required for a business person to be successful within any business environment. The first part of the course focuses on knowledge about organizations and how people operate within organizations, including the areas of organizational theory, structure, and effectiveness. The course then looks at business from a legal perspective with an overview of the legal environment of business. The course will prepare the student to consider specific legal situations and to make legal and ethical decisions related to those situations.